'China-plus-one' policy, especially in the manufacturing of advanced electronic items and components. Among them is the PLI scheme for automobile and auto components launched in September 2021 to boost the manufacturing of Advanced Automotive Technology (AAT) products, facilitate deep localisation for AAT products and enable the creation of a domestic as well as a global supply chain. The sector continues to be a key driver of the Indian economy, contributing 7.1 per cent to India's GDP and about half of the manufacturing GDP.

India is also focusing on new-age products like electric vehicles (EVs), cleaner hydrogen-based cars, electronics and white goods, active pharmaceutical ingredients (APIs), telecom and networking products, and drones and their components. But despite attracting investments through PLI and tax breaks, India remains short of becoming an immediate beneficiary of manufacturing diversification by the West. For, even for these products, there's dependency on the imports of Chinese equipment. It was perhaps faced with this Hobson's choice that the economic survey made a case for FDI inflow from China, having learnt from the experience of other economies such as South Korea, Vietnam, Thailand and Malaysia that have benefitted from it.

SAFEGUARDING NATIONAL INTERESTS

However, this comes at a time when the Modi regime is repairing its relationship with its ideological parent, the Rashtriya Swayamsevak Sangh (RSS), which sees China as an ideological opponent and does not want New Delhi's interests to become subservient to Beijing's. The RSS and its affiliates working in this arena have been pushing the government to look for alternatives and bring in reforms such as easing out the inverted duty structures that have hit labour-intensive sectors such as textiles and leather. In a research paper written for the New Delhi-based think tank Council for International Economic Understanding, economist Ashwani Mahajan noted that the textile industry in India faces a 9 per cent cost disadvantage on account of levies like the cess on fuel, logistical inefficiencies and cheaper inputs flooding the market through FTAs, especially with the ASEAN countries. Talking to INDIA TODAY, he identified 70 products ranging from chemicals and metals to textiles and electrical and electronic goods that are facing cost disadvantages.

TAKEAWAYS

- **If India wants to become a $10 trillion economy by FY32, manufacturing sector will have to start firing on all cylinders**
- **The government should strengthen the ecosystem for intermediary product manufacturing and turn MSMEs from just auxiliary manufacturers to also makers of new products and integrate them into the global value chain**
- **India needs to recalibrate its trade agreements for achieving a level playing field between imports and domestic production**

"The PLI is a good start," he says, "but to lay the foundations for the factories of tomorrow, India will have to bring the next level of reforms quickly."

India is investing heavily in railway and highway networks to facilitate the transportation of raw material and goods. The introduction of the Goods & Services Tax (GST) has added to the ease of doing business. But "the availability of land to set up factories and the availability of robust supply lines are still a big challenge", says an industrialist, speaking on condition of anonymity. Access to cheaper and easy capital is also an uphill task, he adds. In April this year, a report by consulting group EY highlighted that preferential duty structures in FTAs with countries having strong manufacturing capacities, like ASEAN, South Korea and Japan, have created an uneven playing field for Indian manufacturing. The report identified several factors, including taxes outside GST, higher input costs, expensive capital, and high energy and logistics expenses, as contributing to the disadvantage of India's manufacturing sector. This gives vital pointers to the government to recalibrate India's multilateral and bilateral trade agreements for achieving a level playing field between imports and domestic manufacturing.

But a change is visible. In fact, the EY report noted that since 2010-11, when FTAs were implemented, India has eliminated 75 per cent of its tariffs, covering nearly 90 per cent of tariff lines. In 2019, India pulled out of the Regional Comprehensive Economic Partnership (RCEP), conceived at the 2011 ASEAN Summit, and has never given heed to the Belt and Road Initiative (BRI) pushed by China. Instead, India has decided to go for bilateral agreements with the UAE and Australia and has entered into a Trade and Economic Partnership Agreement (TEPA) with EFTA countries (Switzerland, Iceland, Norway and Liechtenstein) besides negotiating trade deals with the US, UK and EU. This reflects a change in strategy, as these new geographies may not supply cheaper inputs but open up markets for Indian products. Another industrialist, speaking anonymously, suggests that while the focus is on strengthening manufacturing, it should be done in a "synergised way". "Look at the final product," he adds, "and do backward integration, cleaning up the inverted duty structures which make the products uncompetitive and ineffective." If done right, it could very well help India achieve its ambitious growth targets and become a global manufacturing hub. ■